Indian Currency is Primarily the Paper Rupee

Exactly 100 years after the first standard pan-India silver rupee was issued, RBI was formed as a privately owned central bank in 1935.

Note issuance, which was carried out by the government in the Department of Issue and through Reserves Treasuries and Circles in the country, was taken over by the central bank. RBI has an Issue Department, which manages and accounts for the currency in circulation.

Coins are still minted in government mints. After the stoppage of the silver rupee, coins were of small denominations. Later, coins were introduced for relatively larger denominations: the Re 1 coin held fort for long. Coins of Rs 2, Rs 5 and Rs 10 were introduced. In 2019, the government introduced a Rs 20 coin as well. People don't find coins convenient for transactions. Only about 1 per cent of the currency in circulation—about Rs 6500 crore (all small and rupee coins together) against notes in circulation—is in coin form.

Physical currency in circulation and currency as deposits in saving and current accounts are as good as currency in circulation. In the digital world, deposits perform payments faster than paper currency payments. However, there is a difference between the two. The currency note is the currency. Deposits can perform payments, which is the main function of currency. Deposits are money but not currency. Deposits can be converted into currency while the rupee banknote remains the currency.

Digital Payments are Making Money Digital

Money or currency intercedes to complete trade and other financial transactions. Paper currency is lightweight and easy to carry. It can also be assigned any monetary value. India had a Rs 10,000 note in 1947.

Paper currency, though, suffers from a major drawback; it has to be physically delivered. This shortcoming was overcome substantially by the